

M/S Chakradhari Cold Storage Pvt. Ltd. v. Dakshinanchal Vidyut Vitran Nigam Limited And Others

High Court of Judicature at Allahabad · Division Bench · 15 September 2025 · Writ - C No. 14518 of 2006 with Writ - C No. 59151 of 2007 · **Both writs allowed; 2005 assessment by EE (Revenue) quashed; liberty to appeal the 2007 EE (Distribution) assessment within four weeks without pre-deposit, to be heard and decided by reasoned order within eight weeks; other prayers not pressed**

HEADNOTE

An assessment bill and demand notice issued in purported exercise of Section 135 of the Electricity Act, 2003 read with clause 6.8(c) of the U.P. Electricity Supply Code, 2005 cannot stand if passed by the Executive Engineer (Revenue). The power to pass an assessment order lies with the Executive Engineer (Distribution). The revised assessment dated 17 December 2005 and demand notice dated 20 December 2005 were therefore quashed. A later revised assessment passed by the Executive Engineer (Distribution) (order dated 3 September 2007 and bill dated 1 September 2007) was not examined on the merits. The consumer was given liberty to appeal against that assessment within four weeks without pre-deposit, a substantial amount having already been deposited; the appellate authority is to grant a hearing and pass a reasoned order in accordance with law within eight weeks of filing. A challenge to the vires of clause 8.2(iv) vis-à-vis Section 126(6), and the other remaining prayers, were not pressed.

FACTUAL SUMMARY

M/s Chakradhari Cold Storage Pvt. Ltd. filed two writ petitions against Dakshinanchal Vidyut Vitran Nigam Ltd. In Writ-C No. 14518 of 2006 it challenged a revised assessment order/bill dated 17 December 2005 and a demand notice dated 20 December 2005, issued in purported exercise of Section 135 of the Electricity Act, 2003 read with clause 6.8(c) of the U.P. Electricity Supply Code, 2005. It also sought a declaration that clause 8.2(iv) of the Code was ultra vires Section 126(6) of the Act, and a restraint on recovery. In Writ-C No. 59151 of 2007 it challenged a revised assessment bill dated 1 September 2007 and a revised assessment order dated 3 September 2007, issued under Section 135, and sought a restraint on disconnection and recovery.

The 2005 assessment had been passed by the Executive Engineer (Revenue). Counsel for the petitioner submitted that only the Executive Engineer (Distribution) could pass an assessment order. The 2007 assessment was passed by the Executive Engineer (Distribution). Other prayers, including the vires challenge, were not pressed.

REUSABLE CONSTRUCTIONS

1. The power to pass an assessment bill and demand notice in purported exercise of Section 135 read with clause 6.8(c) lies with the Executive Engineer (Distribution), not the Executive Engineer (Revenue); an assessment by the latter is without competence and is quashed. ¶ 5
2. A revised assessment passed by the Executive Engineer (Distribution) is not examined on the merits in writ; the consumer may appeal without pre-deposit where a substantial amount has already been deposited, and the appellate authority must hear and pass a reasoned order. ¶ 6

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

An assessment under s.135 read with clause 6.8(c) passed by the Executive Engineer (Revenue) is without competence and is quashed

QUESTION

May the Executive Engineer (Revenue) pass a revised assessment bill and demand notice issued in purported exercise of Section 135 of the Electricity Act, 2003 read with clause 6.8(c) of the Supply Code, or does that power lie only with the Executive Engineer (Distribution)?

HOLDING

The power was not with the Executive Engineer (Revenue) to pass the assessment bill and the demand notice; the power lies with the Executive Engineer (Distribution). Writ-C No. 14518 of 2006 is allowed and the revised assessment dated 17 December 2005 and the demand notice dated 20 December 2005 are quashed and set aside. ¶ 5

QUALIFIER

The Court accepted counsel's submission without citing a designation notification or a numbered Code/Act provision for the competence rule.

FLAG The 2005 papers were issued under s.135 r/w clause 6.8(c). The competence holding does not resolve that mix of a theft section with the unauthorised-use clause, nor whether the assessing officer is designated under s.126. Source PDF also contains listing orders of 4.3.2020 (Sudhir Agarwal and Rajeev Misra JJ.) and 18.7.2025 (same coram as the judgment).

HOLDING-UNIT · EA2003::127

Revised assessment by the Executive Engineer (Distribution) left to appeal without pre-deposit, with hearing and a reasoned order

QUESTION

Where a revised assessment has been passed by the Executive Engineer (Distribution), will the writ court quash it or relegate the consumer to appeal?

HOLDING

Writ-C No. 59151 of 2007 is allowed only to the extent of granting liberty to appeal against the revised assessment order dated 3 September 2007 and the revised assessment bill dated 1 September 2007 within four weeks, without payment of any pre-deposit, a substantial amount having already been deposited. The authorities are to grant an opportunity of hearing and thereafter pass a reasoned order in accordance with law within eight weeks of filing of the appeal. ¶ 6

QUALIFIER

The Court did not name Section 127 or construe the statutory pre-deposit in s.127(2); waiver rests on amounts already deposited.

FLAG Keyed to s.127 as the statutory appeal against a final assessment. The Court said only 'file appeal'.

PRINCIPLE TAGS

assessment-must-be-by-ee-distribution-not-ee-revenue A revised assessment bill and demand notice issued in purported exercise of s.135 read with clause 6.8(c) by the Executive Engineer (Revenue) were quashed. The power to pass the assessment lies with the Executive Engineer (Distribution). ¶ 5

alternative-remedy-relegation The 2007 revised assessment passed by the Executive Engineer (Distribution) was not examined on the merits. The consumer was given four weeks to appeal without pre-deposit (substantial amount already deposited); the authority is to hear and pass a reasoned order within eight weeks of filing. ¶ 6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 8.2(IV) OF THE SUPPLY CODE IS ULTRA VIRES SECTION 126(6) OF THE ELECTRICITY ACT, 2003

Prayed in Writ-C No. 14518 of 2006. The other prayers in both writs, including this vires challenge, were not pressed. ¶ 1, 6

NOT DECIDED — MERITS AND QUANTUM OF THE 1.9.2007 / 3.9.2007 REVISED ASSESSMENT BY THE EXECUTIVE ENGINEER (DISTRIBUTION)

Left to the appeal, with hearing and a reasoned order. ¶ 6

NOT DECIDED — WHETHER THE 2005 DEMAND WAS A THEFT ASSESSMENT UNDER S.135 / CLAUSE 8.2 OR UNAUTHORISED USE UNDER CLAUSE 6.8

The 2005 papers invoked s.135 read with clause 6.8(c). Quashed only for want of competence of the Executive Engineer (Revenue). ¶ 1, 5

